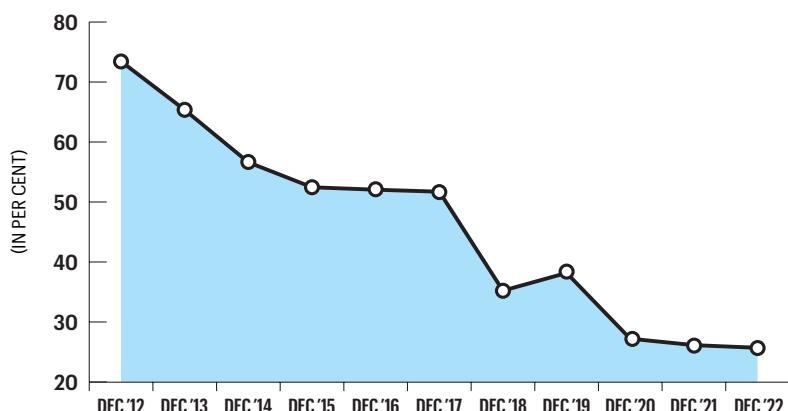


LOSING FAVOUR

Non-algo trading has dropped significantly over the years



SHARE OF NON-ALGO TRADES IN PER CENT **SOURCE** BSE

39
PER CENT

GROWTH IN NUMBER OF DEMAT ACCOUNTS BETWEEN NOVEMBER 2021 AND NOVEMBER 2022, PER SEBI DATA

30
TIMES

EXPECTED GROWTH IN TOTAL ASSETS UNDER MANAGEMENT OF THE PMS INDUSTRY IN THE NEXT 25 YEARS

contributed to this trend.”

Market participants, however, are confident that the number of demat accounts is set for an exponential rise as an increasing number of individuals look at equity ownership. “A realistic estimate for us would be to get to around 30–40 per cent equity ownership level in the next 25 years,” says Gaurav Rastogi, Founder, Kuvera, an online wealth management firm.

Rastogi, however, adds that the jump cannot happen in isolation and there has to be some catalyst in the form of new products and innova-

tions that would attract new investors to the capital markets.

THE INDIAN CAPITAL markets have been a trendsetter of sorts in many aspects of trading, including being one of the fastest in terms of settlement of trades—now investors will get shares or funds in their accounts as early as next day of the transaction—and also in certain areas related to risk mitigation and governance.

In terms of product spread, however, market participants believe

that there is scope to do more, especially when seen in the light of the bouquet of products available in some of the other leading equity markets across the globe.

Vasanth Kamath, Founder & CEO of Smallcase, a popular investing platform, believes that India can take the game a notch higher by moving to a real-time settlement system that is not available anywhere globally as yet.

“Real-time settlement would reduce market risks, result in cost savings and margins reducing,” he says, adding that in terms of products, Indian policymakers could look at the concept of ‘fractional shares’ and also a unified demat account for all asset classes.

“Fractional shares would help investors achieve diversification at lower investment amounts while improving liquidity and depth that will grow equity culture and retail participation. A unified demat account would result in one account for every individual that will be used for all assets,” says Kamath.

Fractional trading refers to a mechanism wherein an investor can buy a fraction of a share. The concept is already permitted in the US markets and many Indian investors have bought fractional shares of popular companies like Apple, Meta (earlier Facebook) and Alphabet, among others.

Kuvera’s Rastogi also believes that fractional trading, along with tokenised real estate, could be among the key trends that could dominate the Indian markets by 2047 and also attract new investors to the equity markets.

“Fractional trading makes equity ownership completely frictionless by removing lot size and share cost constraints. Similarly, tokenised real estate provides a simple avenue for investors to buy and hold a diver-